Day 4 - Upselling & Cross-Selling.

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We've talked about many different types of agritourism businesses across the United States. We've explored ways to network within your community and tap into federal, state and local resources to build your agritourism business. Today we are going to dive a bit deeper into understanding how you can leverage upselling and cross-selling to make more money.

McDonald's and Upselling & Cross-Selling

Have you ever ordered something from McDonald's and been asked "Would you like fries with that?" This is cross-selling. That's when a business sells a related product to their customers after the initial sale. This simple marketing strategy results in nearly 9 million pounds of french fries being sold by McDonalds every day, and is responsible for 15-40% of McDonald's annual profit. (source: shopney)

A McDonald's employee has also probably asked you if you want to supersize your order. This is an example of upselling, where a salesperson tries to get the customer to buy a more expensive product or service.

The best upsells are usually highly related to the initial product being purchased, such as McDonald's cross-selling fries with a hamburger. Here are a few other examples:

- Upselling a helmet and lock with a bike purchase
- Upselling insurance with a new washer and dryer
- Upselling a matching belt with a pair of dress shoes

Benefits of Upselling & Cross-Selling

- Since you've already invested to acquire a customer, upselling and cross-selling can be very effective ways to:
- Grow your profits
- Increase your average order value
- Improve retention
- Educate customers about new products
- Encourage customers to buy products for which you have excess inventory

Statistics

- The cost of attracting new customers is five times the cost of retaining existing ones.
- Existing customers are 50% more likely to try a new product.
- Existing customers spend 31% more than new customers.
- The probability of selling to an existing customer is 60-70%, while a new prospect is 5 to 20%.
- (source: Forbes)
- Amazon attributes 35% of its revenue to cross-selling. (https://www.cbsnews.com/media/12-ways-amazon-gets-you-to-spend-more/)

https://www.mews.com/en/blog/all-you-need-to-know-about-upselling

Tell Me How I Win

"Sales guru Jeffrey Gitomer puts upselling into perspective when he describes it as helping your customers win.

A reader asked Jeffrey for advice on how they could upsell him on a credit card product that was more

expensive (and more valuable) than the one he currently used.

His simple response?

“Tell me how I win. When I win, you win.”

If you can make your customer feel like an upsell is helping them win, then you’ll both win.” https://www.groovehq.com/support/upsells

Customer Happiness

Quote: Upselling isn’t just a sales tactic; it’s a customer happiness tactic that can help you build deeper relationships with customers by delivering more value. https://www.groovehq.com/support/upsells

The Right Time to Upsell and Cross-Sell

“Chris Yeh, an investor, entrepreneur and the VP of Marketing for PBWiki, shares a great example of a well-done support upsell when he called Geico for roadside assistance.

“After providing GEICO with my location and arranging to wait for the tow truck, the GEICO dispatcher told me, “From looking at your account, it looks like you’re now eligible for a big discount on our comprehensive coverage. Since you’re going to be waiting for the tow truck anyways, would you like to hear more?”
“15 minutes later, I had agreed to add $1 million in additional coverage for my car and home, at a cost of right around $100 per year.

“I’ve been a GEICO customer for 16 years already, so it’s not much of a stretch to speculate that I might be a customer for another 20 years. That means that GEICO turned a costly customer service call into an incremental $2,000 in lifetime revenue.”
(source” https://www.groovehq.com/support/upsells)

When are the best times to do an upsell or cross-sell?

There are four key moments in the customer journey when upsells and cross-sells are likely to be most effective:

1. ***Booking -*** When they are booking their service (either online or in person), you can ask questions to understand if they only want the service advertised or if they might be interested in a complimentary product or service. For example, if I am a member of CurbNTurf network listing my property as a great place for RVers to come stay, I may also want to offer a meal to my guests at an additional price. When they are booking their stay is a great time to offer additional services.
2. ***Checkout -*** When people are checking out, when you already have their money in hand, is a great time to offer an upsell or cross-sell. Grocery stores do this all the time with end cap advertisements and items for sale in the checkout area.
3. ***When Answering Questions -*** When people have a question or need more support than what they have been given is a great time to mention other services that might better fit their needs. Always help the customer no matter what AND don’t be afraid to let them know of all the other amazing offerings you have to give them.
4. ***After Amazing Experiences -*** When people have finished having an amazing experience at your property is a great time to share about the next event or another opportunity you have on your property. They are so excited from the great experience they just had that they trust you to give them another amazing experience.

Best Practices for Upselling

There are a few strategies for upselling or cross-selling your product or service:
Make sure your customer is happy with the service you already offer. Never upsell or cross sell to an angry customer.
https://www.groovehq.com/support/upsells

- ***Offer discounts.*** Provide a premium product on discount when purchasing a lower-priced product.
- ***Scarcity.*** For example, if your property is frequently booked, you might want to let customers know how far in advance they need to book during peak times.
- ***Urgency.*** Give limited-time discounts to a premium product under a limited-time offer. The sense of urgency motivates customers to go for the premium product.
- ***Related Offers.*** Keep the upsells and cross-sells. When someone buys a hamburger, don't ask them if they want an X-Box.
- ***Don't be pushy.*** If you have to try hard to sell you probably don't have the right upsell or cross-sell. Survey your customers, find out what they want the most, then offer them that. And, you don't want your upselling or cross-selling to harm your relationships or credibility with customers in any way.
- ***Don't give too many choices.*** Imagine McDonald's trying to upsell 5 different menu items at the same time. Many of the customers would have decision overload and wouldn't purchase any upgrades.
- ***Test.*** Try different upsells and cross-sells, and different strategies for marketing them. Find out which offer works the best, then focus on that.

Tomorrow: Day 5

Remember the huge list of ideas on Day 1? These are great ways to upsell and cross-sell when someone comes to your property. Partnering with community members who have goods or services to sell also are ways to make more money per customer with upsells and cross-sells.

Today, brainstorm ways you can increase your revenue per customer with upsells and/or cross-sells.. Do you want to offer them a meal or snack? Do you want to teach your guests a skill that you have perfected? These upsells and cross-sells may help you generate a lot more profit from the guests you have already acquired.. Listen to what your guests are saying, verbally and online, to give you clues as to what more they would like to see offered at your property. Take advantage of social media or email surveys to ask your guests what they would like to see next for them to be a part of at your property.

Write down 10 different ways you could possibly upsell and/or cross-sell your guests. Rank those ideas in order of ease to implement, guesstimate of how much revenue would they bring in, and how difficult it would be to scale (having one customer or having 100 customers).

Start implementing your highest-priority cross-sell and upsell ideas today!

Tomorrow's Lesson

Tomorrow's lesson will teach how you can generate more revenue for your agritourism business by bringing more RVers to your property.

This course is brought to you by CurbNTurf, a service kind of like AirBNB, but we connect agritourism businesses and other property owners with RVers who need a place to stay while they're traveling. CurbNTurf can help bring more customers to your agritourism business, plus help you generate new income streams as the RVers pay to stay on your property. To learn more about listing your property for free on CurbNTurf, please visit: https://www.curbnturf.com/host. Or you can call us at (800) 877-5005 with an questions. We can also help you get the CurbNTurf listing for your property set up.

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